Tutorial 1

1. Define what a business organization is by filling blanks of the following. *(Hint – these are the key words* **group of people***,* **profit maximization, goods and services, human needs and wants***)*

   A business organization is **group of people** working together to satisfy **human needs and want** by producing **goods and services** with a common objective of **profit maximization**

2. Being aimed toward a goal or toward the completion of a task is known as goal-directed behavior. Identify 5 goals of an organization.
   a. Financial goals
   b. Growth goals
   c. Customer goals
   d. Employee development goals
   e. Social goals
3. Fill the list below related to the factors of production. (Productive Factors)

Productive Factor	Land	Labor	Capital	Entrepreneurship
What it is	All natural gifts of nature used in production.	Human effort-physical or mental work done to produce product	Man made resources	The person or skills to organize the resources and take risks
Example	water	teacher	building	Business owner
Cost/ Charge for the factor	rent	Salary/wages	interest	profit

4. Distinguish between the following and provide examples.

   Needs – Basic human requirements that are essential for live(clothing,shelter,food,water,air)

   Wants – ways for satisfy people need(if person was hungry he has more options like rice,bread)

   Goods – physical/tangible items that satisfy human wants.They can be touched,seen, stored and transported (Food items: rice, bread, milk)

   .

   Services - Intangible (cannot touch/see)Cannot be stored.Ownership cannot be transferred(Education, transport, healthcare)

5. What is the basic Economic problem?

   The **basic economic problem** arises because human **wants are unlimited** (such as food, clothes, housing, education, and luxury goods), but the **resources** available to satisfy them—land, labour, capital, and entrepreneurship—are **limited**. This situation creates **scarcity**, meaning there are not enough resources to satisfy all wants. Due to scarcity, people must make **choices** about what to produce, how to produce, and for whom to produce, and choosing one thing always means giving up another. The sacrifice of the **next best alternative forgone** when making a choice is called the **opportunity cost**; for example, if a farmer uses land to grow paddy, the opportunity cost may be the tea that could have been grown instead.

6. What are the rewards and challenges of being a manager?

   Rewards of Being a Manager

   Financial Benefits – Higher salary,bonuses and allowances compared to other employees.

   Job Security & Status – Recognition,authority and higher social status in the organization.

   Decision-Making Power – Ability to influence the direction of the business and take important decisions.

   Self-Satisfaction – Personal growth, achievement, and fulfillment from reaching organizational goals.

   Career Growth – Opportunities for promotion and professional development.

Challenges of Being a Manager

High Responsibility – Accountable for organizational success or failure.

Stress & Pressure – Must meet deadlines, manage crises, and balance multiple tasks.

Decision Risks – Wrong decisions can cause financial loss or damage to reputation.

Managing People – Handling conflicts, motivating employees, and ensuring teamwork.

Work–Life Balance Issues – Long hours and heavy workload can reduce personal/family time.

7. Underline the most suitable answer.

1. What two factors contribute to scarcity?

   a. Unlimited resources and limited wants
   b. Unlimited wants and limited resources
   c. Unlimited resources and wants
   d. Limited resources and wants

2. An example of a non-scarce good is

   a. Shark meat
   b. Air
   c. Chicken meat
   d. Gadgets

7. Read the below statements and identify the most suitable type of business. *(Hint: for some questions you can mention two or more types of businesses.)*

High autonomy in decision-making and sole control of the organization	sole
Type of business that can have 2-20 members and has unlimited liability.	partnerships
The business and the owner are identified as two separate personals in front of the law.	companies

Maximum 50 shareholders and should consist of at least one director, no shares can be publicly traded	private limited companies
No limit to the maximum number of shareholders and should consist of at least two directors and can offer shares for sale to the general public	Public limited companies
Business dissolves when a partner dies or the expiration of the specified time period.	partnership
Have Perpetual life	Limited companies